After the Lehman default, the UK regulator banned short selling on the stock market for twenty-nine financial firms. [12] After this, there were demands in India that short selling and possibly derivatives trading for some financial firm equities should be banned. But policymakers rode through the storm without introducing such bans.

The terrorist attack in Mumbai started on Wednesday, 26 November 2008. There was a debate among policymakers about financial trading on 27 November (Thursday). Some argued that traders would panic and markets would crash, given that the gun battle was in progress at the Taj hotel, within earshot of some financial firms. The exchanges worked through the storm.

In each of these episodes, the right thing to do was to let the market process work out. The essence of a crisis is fear. There is no greater fear, for private persons, than not being able to see asset prices that are discovered on a fair marketplace, and not having the option value of being able to sell assets on the market if desired. If the marketplace is shut down, or if certain kinds of traders are banned, trust in the price is lost, and fear is exacerbated.

Prevention is better than cure

> *The time to fix the roof is when the sun is shining.*
>
> John F. Kennedy

The task of a policymaker grappling with a macroeconomic/financial crisis is an unpleasant one. We should distil the misery of all previous crises, and find the energy to do the things that will head off crises.

How do we achieve macroeconomic/financial stability? By pursuing four objectives:

- Fiscal policy must be sound. Running small primary surpluses in most years and thereby paying down debt, thus having fiscal space for occasional large borrowing when disaster strikes.